(ix) **Saving in time**

As there are many subsidiary books, work of entering can be done simultaneously by many persons. Thus, it saves time and accounting work can be completed quickly.

(x) **Labour of posting is reduced**

Labour of posting is reduced as posting is made in periodical totals to the impersonal account, for example, Purchases account.



**Student activity**

**Think:** Visit some business units in your area. Find out the books maintained by them. Do they maintain special subsidiary books? If not, discuss with them the need and guide them on maintaining the special subsidiary books.

## 6.5 Purchases book

Purchases book is a subsidiary book in which only credit purchases of goods are recorded. When business wants to know the information about the credit purchases of goods at a glance, the information can be made available if purchases of goods on credit are separately recorded.

Goods here mean the items in which the business entity is dealing. In other words, it is the item which is purchased for regular sales. For example, furniture will be treated as goods in the case of the firm dealing in furniture. For other firms, which are not dealing in furniture it will be an asset. Hence, while recording transactions in the purchases book, it must be ascertained whether the credit purchase is related to the item in which the firm is dealing. Purchases of assets and purchase of goods for cash are not entered in purchases book.

**Format of purchases book / purchases journal**

| Date | Particulars (Name of the suppliers and details of goods purchased) | Invoice No. | L.F. | Amount ₹ | |
|---|---|---|---|---|---|
| | | | | Details | Total |
| (i) | (ii) | (iii) | (iv) | (v) | (vi) |
| | Purchase A/c Dr. | | | | |

(i) **Date**

In the date column, the date of purchases of goods on credit is recorded.

(ii) **Particulars**

In this column the name of the supplier from whom goods have been purchased and details of goods purchased are given. It contains the name, quantity, quality and rate of goods purchased, trade discount and any other specification and specialties of the goods are recorded in this column.

(iii) **Invoice number**

Invoice is the statement prepared by the seller of goods. It contains details about the goods, its price and other expenses incurred. The invoice number is entered in this column.

(iv) **Ledger Folio (L.F.)**

The page number of the ledger in which the supplier's account appears is recorded in this column. Purchases of goods must be posted to the personal accounts of suppliers. Purchases book contains the page number of supplier's account in the ledger. It helps in posting and also in checking the records.



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